

CO-OPERATIVE BANK OF KENYA LTD

Q1 - 2015 INVESTORS BRIEFING



CO-OPERATIVE BANK
We are you



- ❖ **GDP** - Kenya is a USD 55.2 Billion economy with a real GDP growth forecast at 6.9% (GOK), 6.9% (IMF) and 6.6% (World Bank) in 2015. Economic growth in 2015 will be broad-based across most of the sectors.
- ❖ **Inflation rate** has been stable in 1Q2015 with overall inflation at an average of 5.8% compared to 6.7% in a similar period in 2014. The rate is projected to remain stable in the remainder of 2015 at the range of 5% to 7.5% on account of stable electricity cost and relatively low oil prices. However, temporary pressure may be seen from food inflation.
- ❖ **Interest rates to remain stable in 2015** - The money market has been stable with CBR remaining at 8.5% since May 2013. Interbank rate has been consistently below CBR at an average of 6.89% in 1Q2015. The interest rate environment is thus expected to remain generally stable in the remainder of 2015.



- ❖ **The KES** depreciated in 1Q2015 due to volatility in the global FX market. However, the CBK has been able to maintain KES volatility within a narrow range. Global strength of USD and insecurity concerns may undermine the KES slightly, but the CBK is expected to intervene to stabilize the market.
- ❖ **Fiscal Outlook is Positive** - In the first half of FY2014/15 KRA revenue collection was 94.3% of target and a 10% growth compared to similar period last year. The government is on course in rolling out its medium term projects.
- ❖ **One of Africa's best investment destinations** - A report by PWC in March 2015 ranked Nairobi as a leading investment destination. Investment in energy, roads, ports and mining has put Nairobi ahead of its peers in providing the right environment for those seeking investment opportunities.



- Registered as a Co-operative society in June 1965 and opened doors to customers in January 1968 as a bank serving the Co-operative movement.
- In 1994 the bank converted to become a fully-fledged commercial bank licensed under the banking Act to offer the complete range of financial services.
- Listed in Nairobi securities exchange in December 2008
- 3rd Largest bank by asset size of Kshs.309.6 Billion; Nation-wide Brand that speaks to the character of the Kenyan people
- 6th largest by market capitalization on the Nairobi Securities Exchange (NSE) at over Kshs.104B from the 4,889,316,844 (of Kshs.1 each) shares issued to date.
- Branch network of 142 branches (60 opened in the last 5 years in line with devolved government structure) with a total work force of 3,918 staff.
- A unique model for financial deepening with a customer base of over 5.3 million customers and a wholesale banking to over 12,000 cooperative societies
- Embarked on an aggressive transformation agenda “ the soaring Eagle project” with key focus on cost optimization, operational efficiency and frontline productivity
- Included in the MSCI Frontier markets index in 2014 increasing the bank’s visibility in the international arena.

Successful financial deepening & business diversification Universal Banking Model



Co-operatives Banking

- Large Saccos
- Housing Saccos
- Agri Business
- PSV/ Transport Saccos
- Investment Saccos



Retail Banking

- Micro Credit
- SME
- Personal Banking
- Diaspora Banking
- Youth banking the youth
- Asset Finance
- Internet Banking
- Card Business
- Agency Banking
- Mobile Banking



Corporate & Institutional Banking

- Corporate banking
- Commodity Finance
- Transaction Banking
- Gov't Banking
- Trade Finance
- NGO's
- Treasury
- Share registry
- Mortgage Finance
- Custodial



Subsidiaries:

- Co-op-Trust (Investment services)
- Kingdom Securities
- Co-op Consultancy (Advisory services) & Insurance Agency
- Co-op Bank Foundation
- Banc Assurance



Regional Expansion

- Co-op Bank of South Sudan
- Expanding to other regional markets

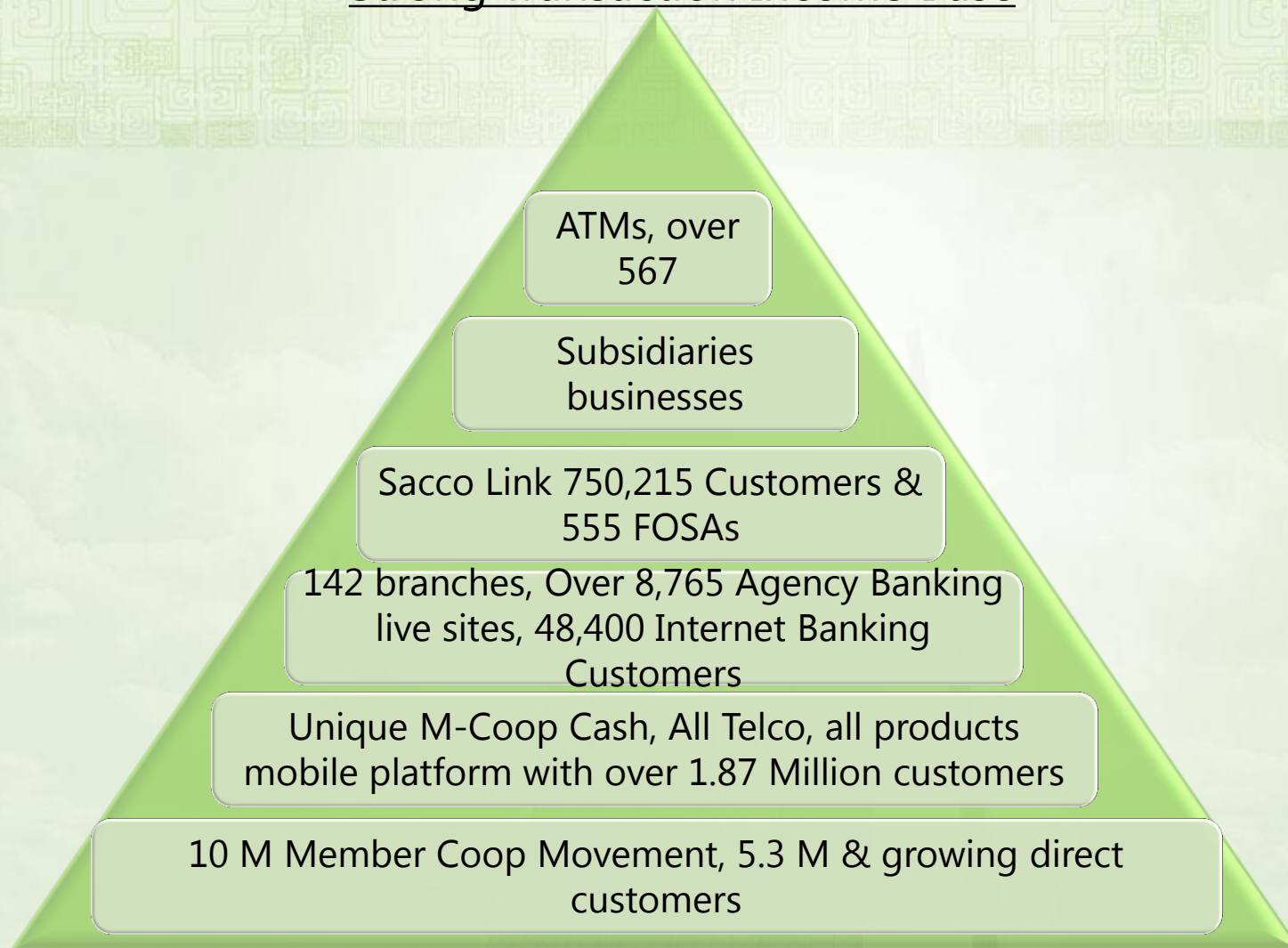


Associates:

- CIC Insurance (26% owned)

Successful Financial Deepening & Diverse delivery channels

Strong Transaction Income Base



Robust technology coupled with Strong Investment in Human Capital



- Modern and robust core banking system(BFUB) with a capacity to support over 15M customers & over 10M transactions per day
 - Tier 3 data center with the latest IBM servers (7 series) that enables faster processing of transactions
 - Specialized systems: Opics (Treasury System) and Trade Innovation (Trade finance System), custodial and fund management services among others
 - High level security certification to secure all our data
- Strong value-based culture
 - Young, dynamic, resourceful, talented, engaged, aggressive and innovative team that is the future of the bank. 80% of staff are below 35 years and 92% under 40 years; great source of innovation and continuity.
 - Run a strategic owned Leadership & Management Development Centre easing staff skills development; has trained over 1,828 Co-operatives leaders.
 - Partnered with leading training institutions:
 - Omega for credit certification
 - High performance people skills - London Business School

Strong and Sustainable Partnerships with Development Partners

Leveraged on strong balance sheet to secure single digit long-term debt of over US\$ 217.39 M from developmental partners as hereunder:

- ❖ IFC US\$ 60 million (Kshs.5.1 billion) at 4% interest rate in USD.
- ❖ EIB Euro 70 million (Kshs.8 billion) at 8.7% in Kshs (locked in Kshs at the exchange rate on disbursement)
- ❖ AFD US\$ 36 million (Kshs.3.14 billion) at 3% USD
- ❖ DEG US\$ 52.6 million (Kshs.4.68 billion) at 4% USD

- ✓ Senior debt has enhanced asset-liability match
- ✓ Mitigated our shilling exposure
- ✓ Diversified our asset portfolio
- ✓ Expanded our client base to export-led FX rich sectors
- ✓ Boosted our competitive position on account of affordable lending rates



- ❑ Incorporated Co-op Consultancy company in 2003. Currently with 20 consultants to support Saccos and related community benefit institutions:
 - ✓ Capacity building for Saccos
 - ✓ Over 580 consultancy and advisory mandates carried out in the past 3 years.
 - ✓ Supported Saccos to establish over 555 FOSAs
 - ✓ FOSAs have further entrenched our financial deepening model
- ❑ Supported the establishment of Kenya Co-operative Coffee Exporters Ltd (KCCE) to help coffee farmers maximize returns on their business and take greater control of the coffee value chain.

Co-operative Bank Foundation

- ❑ Our social investment program vehicle
- ❑ Flagship program is Education Scholarships for bright but needy students from all regions of Kenya. The sponsorship includes:
 - ✓ Full fees Schools fees for both secondary and University education
 - ✓ Internships and career openings for beneficiaries
- ❑ The foundation is fully funded by the bank.
- ✓ Since inception of program in 2007 to date 3,472 students sponsored for Secondary (3,353), university (112) and colleges (7) levels of education.
- ✓ The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.

The Award winning Brand!

2014 International Banker Awards (Africa and Middle East Banking Category)

- Bank CEO of the Year - Africa - 2014
- Best Innovation in Retail Banking - 2014

2014 World Finance Banking Awards

- Best Commercial Bank, Kenya

2014 East African Banking Awards

- Best Bank in Retail Banking
- Best Bank in Micro-Finance

Other achievements

- Information Security Management System - ISO/IEC 27001:2013 certification. Co-operative Bank is now the first Bank in East Africa to achieve this security certification.



Unique Strategy for Regional Expansion



- Unique partnership with Government of S. Sudan (Co-op Bank 51% and GOSS 49%)
- Currently operating 2 branches with and an additional three to be opened in 2015.
- The subsidiary is expected to break even in 2015.
- The unique joint venture offers great opportunity for long-term sustainability of the business.
- Exceptional model to be applied in our new frontiers i.e. Uganda, Rwanda, Tanzania & Ethiopia to be implemented over the next 5 years.



- The bank is implementing “The soaring eagle transformation project” with the following key focus issues;-

i. Organization Re-Design:

- i. Implemented a customer centric organization structure
- ii. De-layered the institution and optimized on the wage bill
- iii. Growth opportunities for our young and energetic team. (over 92% of the staff are 40 years and below)

ii. Enhanced Frontline Productivity:

- i. Customer centric model to maximize on the well diversified client base across the various market segments and over 5.3 m account holders.

iii. Branch Transformation and Channels Migration:

- i. Maximize on the existing delivery channels already invested in.
- ii. Better customer experience (Co-op House Branch)

iv. Shared Services and Digitization:

- i. Digitization & automation of processes including customer delivery systems among others.
- ii. All support services grouped under the office of the Chief Operations Officer (C.O.O)



v. Performance Management:

- i. Key Performance Indicators performance management

vi. Risk management framework:

- i. Automation of the loan origination process
- ii. Review of the turnaround times and the SLA

vii. Reporting & Analytics:

- i. Implementation of enhanced and a robust Customer Relationship Management (CRM) system for enhance lead / sales generation capabilities
- ii. Improved management reporting by implementation of Enterprise Resource Planning -ERP and Management Information Systems - MIS.

The transformation the bank is going through is very exciting and will undoubtedly propel the “Kingdom Bank” to new frontiers.

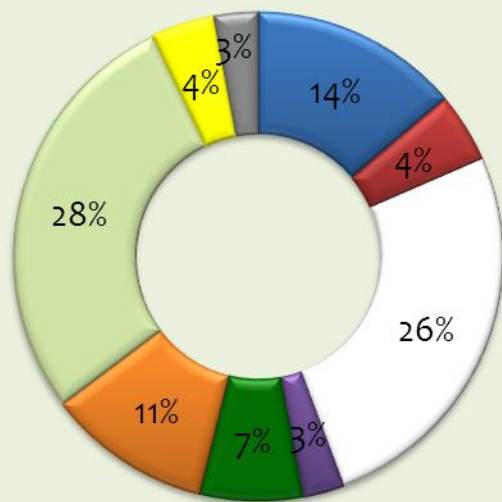


Q1-2015 Financial Performance



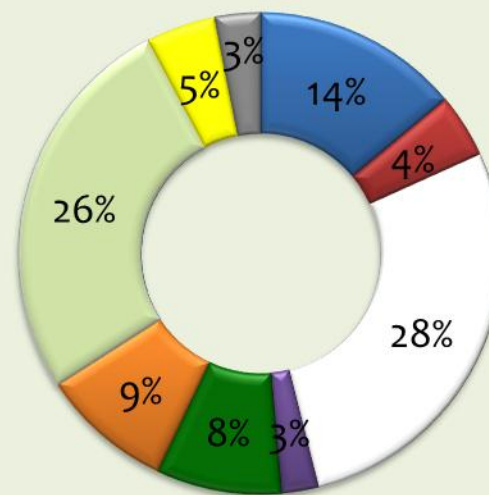
Kes. Billions	Q1-2015	Q1-2014	% Change (Year on Year)		FY 2014
Total Assets	309.6	247.3	25%	↑	285.4
Loan book (NET)	184.1	154.6	19%	↑	179.5
Government securities	44.9	37.7	19%	↑	40.7
Total Deposits	238	191.6	24%	↑	220.9
Number of Customers (Millions)	5.3	4.4	21%	↑	5.1
Shareholders Funds	47.2	40.2	17.2%	↑	43.3

Loan Book Distribution Q1-2015



- Sacco & Agri-Buss
- Asset Finance & IPF
- Personal
- MCU
- SME
- Mortgage
- Corporate
- Staff
- Card & others

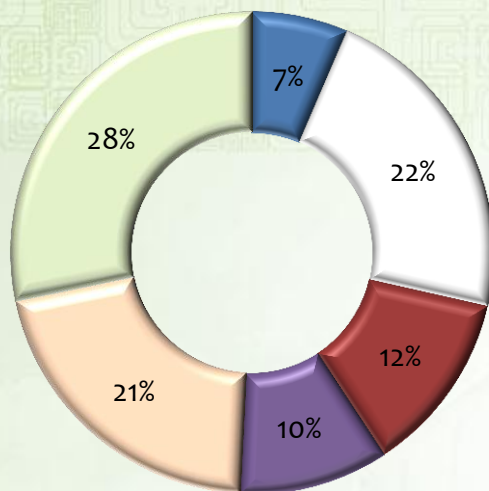
Loan Book Distribution Q1-2014



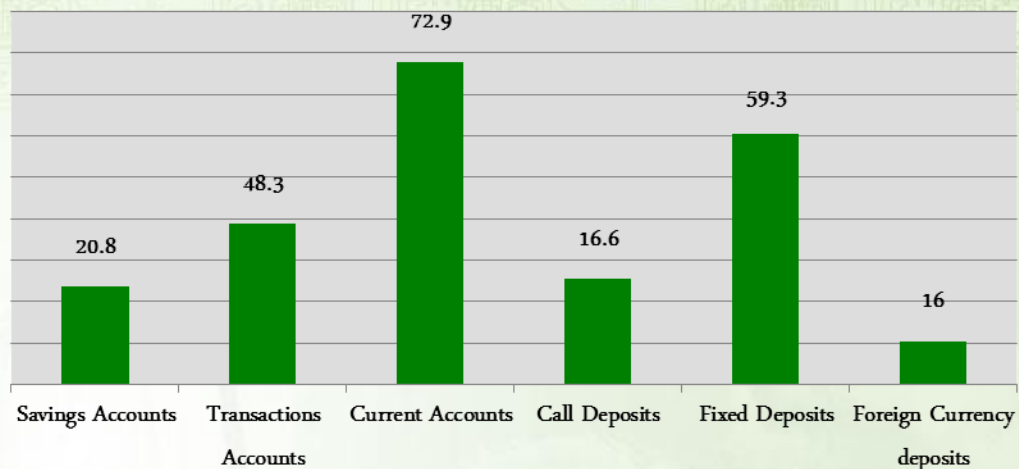


Deposits Distribution Q1-2015

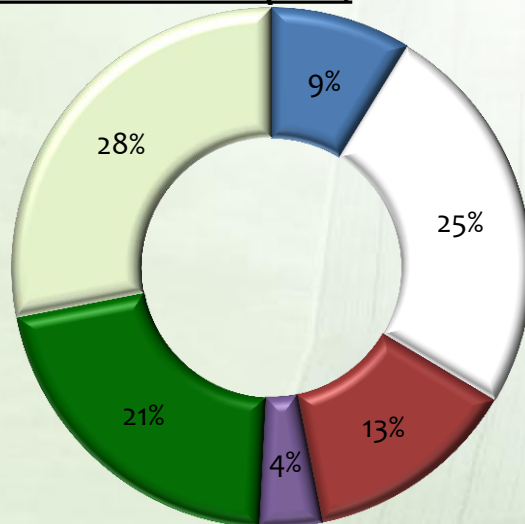
- Sacco & Agri-Biz
- Personal Loans
- MCU
- SME
- Government Banking
- Institutional Banking



Deposits : Q1 - 2015 (In Kes. Billions)



Deposits Distribution Q1-2014



- ✓ Current accounts form the largest single component of deposit liabilities at 31%
- ✓ Fixed and call deposits form 25% and 7% respectively
- ✓ Transactions accounts shared 21% of the book whereas savings had 9% and foreign currency 7%. These deposits offer a comfortable cushion for asset growth.

Portfolio Trends Kes. Millions

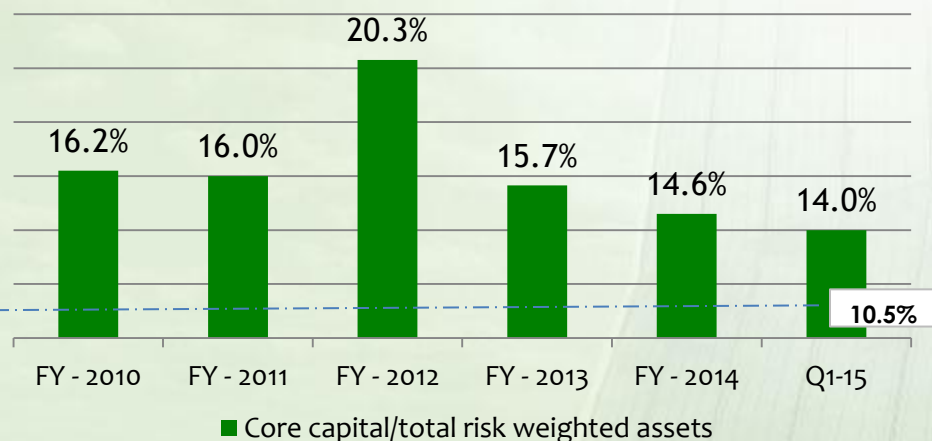


	<u>Q1-2015</u>		<u>Q1-2014</u>		<u>FY - 2014</u>	
Normal	168,567	89.8%	142,257	90.2%	166,821	89.4%
Watch	11,443	6.1%	8,580	5.4%	11,818	6.3%
Substandard	3,245	1.7%	2,999	1.9%	3,382	1.8%
Doubtful	3,780	2.0%	2,717	1.7%	3,837	2.1%
Loss	719	0.4%	1,131	0.7%	763	0.4%
TOTAL	187,754	100%	157,684	100%	186,622	100%

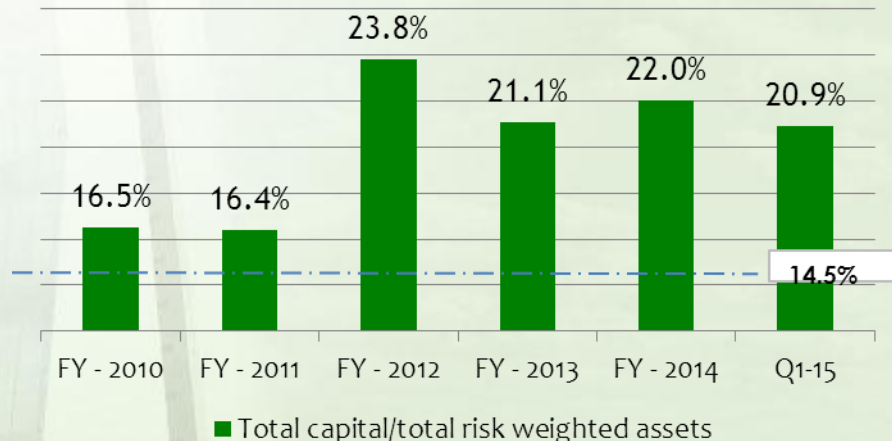
Core Capital / Total Deposits (10.5%)
 Core Capital / Total Risk weighted Assets (10.5%)
 Total Capital / Total Risk Weighted Asset (14.5%)
 Coverage (*Loan loss prov+int in sus /Gross NPL*) -IFRS
 Coverage(*Loss loan+int in sus+gen prov*)/Gross NPL- CBK
 Liquidity (20%)
 NPL / Total Loans
 Loans to Deposits

<u>Q1 2015</u>	<u>Q1 - 2014</u>	<u>FY 2014</u>
16.5%	17.5%	17.1%
14%	14.6%	14.6%
20.9%	20.5%	21.6%
33%	42%	30%
59%	67%	55%
39.7%	32.7%	33.8%
3.9%	3.9%	4.1%
78%	84%	85%

Core capital/total risk weighted assets



Total capital/total risk weighted assets



Strong Profitability Growth

Kes. Billions (except for EPS)	Q1 - 2015	Q1 - 2014	% Change (Y/Y)		FY 2014 (audited)
Interest Income	8.17	6.6	23%	↑	29.4
Interest Expense	2.3	1.8	27%	↑	8.1
Net Interest Income	5.8	4.8	21%	↑	21.3
Fees & Commissions	2.3	1.9	19%	↑	8.7
Forex Income	0.452	0.447	1%	↑	1.417
Total Income	8.7	7.5	17%	↑	32.1
Loan Loss Provision	0.35	0.15	132%	↑	1.18
Operating Expenses	4.3	4.2	3%	↑	20.1
Exceptional item, Early retirement costs	0	0	0	↑	1.34
Profit Before Tax	4.5	3.47	30%	↑	11.99
Profit After Tax	3.17	2.47	29%	↑	8.01
Basic EPS	0.65	0.59	10%	↑	1.64

	Q1 - 2015	Q1 - 2014	FY - 2014
Cost to Income	49.4%	55.6%	62.6%
Cost of funds	3.7%	3.7%	3.4%
Average Return on Equity	29%	28%	20%
Average Return on assets	3.4%	3.2%	3.10%
FX to Non Funded income	16%	16.8%	13.1%
Non - Funded to Total Income	33%	35.6%	34%
Net Interest Margin	10.2%	10.4%	10.1%
Effective Corporate Tax Rate	30%	30%	30%

- Cost to Income : The ratio is improving in line with the ongoing transformation strategy
- Average Return on Equity : Improved as a result of the improved operations efficiency
- NIM : Stable and in line with the bank's projections

2015 Financial Outlook



	<u>Projections FY - 2015</u>
Profit Before Tax Growth	30-35%
Loans & Advances Growth	25-30%
Deposits Growth	20-25%
Cost to Income	53%
Non Funded to Total Income	40%
ROE	25-30%
ROA	4 -4.5%
NPL	4.15%
Cost of funds	3.2%
Net interest margin	10%
Cost of risk	1.3%

Conclusion

The Group's business strategy is well supported by the heavy investments in diverse delivery channels and infrastructure.

The bank is already realizing strong benefits from the “Soaring Eagle Transformation Project” started in year 2014. As a bank, we look to the future with great excitement and optimism and expect to substantially grow our Group performance.

Thank you for your continued partnership and we invite you to invest more in the great future.

THANK YOU



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